Cash Drivers

Question 1: What are the seven fundamental factors that affect a business's cash?
Answer: Sales Growth, Gross Margin, Expenses, Account Receivables (Debtors), Stock Days on Hand, Accounts Payable (Creditors), and Net Capital Expenditure.
Key Point: Understanding these seven factors is the important first step to improving common problems related to business cash flow.

Question 2: If your business is not generating sufficient cash, how might this affect your relationship with creditors?
Answer: You may not be able to pay creditors on time, which can affect your ability to negotiate the best pricing, delivery, or quality of products, and in extreme cases, your business may cease to operate due to stopped credit.
Key Point: Cash in the bank or a bank overdraft facility is essential for maintaining strong supplier relationships and operational stability.

Question 3: How does an increase in sales affect your business's cash position?
Answer: An increase in sales uses cash.
Key Point: While an increase in sales is good for long-term futures, there are almost always immediate costs that must be covered, such as increases in core stock, debtors, staff salaries, and transport costs.

Question 4: What is the formula used to measure Gross Margin?
Answer: (Sales - Cost of Goods Sold) / Sales.
Key Point: Gross Margin is a profitability ratio, and an increase in gross margin releases cash, whereas a decrease uses cash.

Question 5: Why is depreciation excluded when calculating the Expense % ratio?
Answer: Because depreciation is a non-cash item.
Key Point: The expense ratio is strictly focused on cash drivers, so it is calculated as (Expenses Excluding Depreciation) / Sales.

Question 6: How does a decrease in debtors (Account Receivables) affect cash? Answer: A decrease in debtors releases cash.

Key Point: Debtor collection is measured using a Days on Hand calculation to standardize it against sales levels, allowing for accurate comparison with past periods despite changes in sales.

Question 7: What is the formula for calculating Inventory (Stock) Days on Hand? Answer: (Stock x 365) / Cost of Goods Sold.

Key Point: An increase in stock uses cash, while a decrease in stock releases cash.

Question 8: How does an increase in Accounts Payable (Creditors) affect cash? Answer: An increase in creditors releases cash.

Key Point: The measurement uses a Days on Hand calculation applied to the cost of goods sold figure to estimate creditor efficiency.

Question 9: How is Net Capital Expenditure (Capex) measured?

Answer: It is measured using the cost of any capital items less salvage value, assuming it is a replacement.

Key Point: An increase in capex uses cash, whereas a decrease in capex releases cash.

Question 10: Under what circumstance will improving cash flow fail to help your business in the long term? Answer: If there are fundamental issues regarding the pricing of work, costing inputs, or other core management issues. Key Point: Cash flow management is critical, but it cannot permanently fix a structurally unprofitable business model.

Dashboard Discussions

Question 11: What is the specific role of the participant in a planning session?

Answer: To be ready to explore issues and ideas with an open heart and an open mind.

Key Point: The objective of the meeting is to "Discover What We've Been Missing," which requires participants to collaboratively challenge what they believe to be true.

Question 12: In the Category Secrets framework, which cost category relates to efforts made to secure more business, such as marketing and branding?
Answer: Activity Costs (or "Get The Job" costs).
Key Point: These are costs incurred in the hope that you win more work or make more sales in the future, distinct from Variable Costs.

Question 13: What is the definition of Fixed Costs within the Category Secrets framework?
Answer: The structural requirements to "House" staff and serve customers based on how you believe things should be done.
Key Point: These are the costs of "being in business," determining how much of a customer's problem you solve in-house and the type of experience you provide.

Question 14: In the 3x3 Review Framework, what are the three elements of the operational sequence that align with Cause, Event, and Effect?
Answer: Get Organised, Get the Job, and Do the Job.
Key Point: This operational sequence directly overlays with your financial choices (Fixed Costs, Activity Costs, Variable Costs) to help determine the 'downstream' effects of performance.

Question 15: When reviewing a metric and struggling to gain clarity, what specific action should be taken?
Answer: Ask the "5 Why's" to find the root cause.
Key Point: You should seek information, not judgment, because no single ratio or report can give you the whole story.

Question 16: The "Sales to Gross Profit Ratio" highlights tactical options in which two specific cost areas?
Answer: Do the Job (Variable Costs) and Get the Job (Activity Costs).
Key Point: This ratio relates to tactical elements like purchasing efficiencies, process improvements, pricing, and sales effectiveness.

Question 17: What two operational phases are highlighted when analyzing the "Wages to Sales Ratio"?
Answer: Do the Job (Variable Costs) and Get the Job (Activity Costs).
Key Point: Wages primarily impact the efficiencies of projecting, managing and doing the work, as well as the sales effectiveness required to secure the work.

Question 18: What is the definition of a "Common Cause" of data volatility?
Answer: High Frequency - Low Impact events (e.g., a retail store experiencing a rainy day).
Key Point: Understanding the cause of volatility prevents tampering, which is the misinterpretation of and incorrect response to data.

Question 19: How is a "Special Cause" of volatility defined?
Answer: Low Frequency - High Impact events (e.g., an Earthquake or Pandemic).
Key Point: Separating special causes from seasonal patterns or common causes helps ensure data is consistent with previous business assumptions.

Question 20: When reviewing dashboard data, you must always define if the data represents Causation, Coincidence, or what third term?
Answer: Correlation.
Key Point: Always seek a balanced view by looking for both 'good & bad' data to accurately interpret performance.

Fin Mgt 3 Pillars

Question 21: What are the 3 Pillars of Financial Management?
Answer: Scenario Model (Assumptions/Targets), Financial Systems & Controls, and Reporting (Performance/Actual).
Key Point: The foundation of robust business finance operates as a continuous cycle utilizing these three pillars rather than as a static process.

Question 22: What is the primary function of the Scenario Model?
Answer: It acts as your "What-if" calculator, essential for Strategic & Operational Planning.
Key Point: Scenario planning helps identify risks and opportunities by assigning a probability to observations; failing to "do the math" here is often at the heart of business failure.
Question 23: What is the main purpose of management reporting?
Answer: To avoid confirmation bias.
Key Point: Reporting helps identify what you don't know just as much as confirming what you do know, providing tangible proof gained after business activities.

Question 24: In the Client Progression model, why are clients typically "Stuck in the Mud"?
Answer: They are withdrawn from business development due to fatigue, fear of loss, or lack of clarity and belief.
Key Point: The solution is to create self-relevance using a persona (like the Heald matrix) so they can see that progress is easily within their reach.

Question 25: How does a business owner overcome "The Knowledge Gap" regarding their finances?
Answer: By understanding their business in cyclic terms (using a Working Capital Cycle template) to grasp the true effects of time and discounting.
Key Point: This creates an "ah-ha" moment, allowing the client to piece together the role of forecasting and budgeting.

Question 26: What is the first step of the Advisory Staircase?
Answer: Compilation & Verification (Get the data in, get it clean and timely).
Key Point: This step establishes the foundation before moving on to rendering the data for comprehension in the Assimilation stage.

Question 27: During Step 3 (Interpretation) of the Advisory Staircase, what key distinction must be recognized?
Answer: The difference between correlation and causation.

Key Point: This step helps clients recognize that volatility can only be reduced by refining procedures and treating problems as quantifiable "what-if" events.

Question 28: According to the Q&A, why do many business owners avoid financial management entirely?
Answer: Due to ignorance, fear, or because they come from a "technician" or "artisan" background and simply don't know what they don't know about financial systems.
Key Point: This lack of knowledge often causes owners to fail to "do the math," which is a core reason for business failure.

Question 29: How can a business owner change their negative mindset toward financial forecasting being a frustrating "static prediction"?
Answer: By combining a 3-way forecast with "revenue model sensitivity".
Key Point: This shifts the forecast into a series of clues for what to expect, which brings joy from learning and helps the owner feel in control.

Question 30: Where does benchmarking or comparative analysis fit into the 3 pillars?
Answer: It comes at the end, in the reporting stage.
Key Point: You must first use your scenario model to "flush out" your current daily assumptions before blurring your perspective with outside organizational data.

8 Profit Levers

Question 31: What are the five profit levers that multiply together to equal Total Revenue?
Answer: Number of Foot-traffic, Number of Prospects, Number of Customers, Average Customer Spend, and Average Customer Frequency.
Key Point: Managing these five variables dictates the total money coming into the business before expenses are deducted.

Question 32: What is the Basic Profit Formula?
Answer: Total Revenue (minus) Total Expenses = Profit.

Key Point: Revenue is driven by the first five levers, while Expenses are driven by the remaining three (Sales Margin, Activity Costs, Fixed Costs).

Question 33: How is Lifetime Customer Value calculated?
Answer: Average purchase value (Customer Spend) x annual transaction frequency (Customer Frequency) x number of years expected to retain the customer.
Key Point: This calculation reveals the long-term revenue story and the true financial worth of keeping a customer wanting more.
Question 34: In the 8 Profit Levers, what does "Sales Margin" represent?
Answer: The difference between how much you sell it for minus what it cost you.
Key Point: This lever focuses on efforts to buy materials/stock for less and sell them for more.

Question 35: In the Customer Journey (Revenue) Story, what represents "Total Available Market"?
Answer: How many people live in your area.
Key Point: This is the absolute ceiling of potential buyers, from which you must extract market exposure (foot traffic) and market engagement (prospects).

Question 36: What are the three primary uses for business profits?
Answer: 1. To purchase new assets for growth or fund expansion activities, 2. To repay debt, 3. To distribute to business owners.
Key Point: The way a company uses its profits indicates the management team's preferences and acts as a critical measure of their performance.

Question 37: What is the definition of "Over-Trading"?
Answer: The term used to describe funding growth primarily via debt where the lack of previously retained profits results in the debt/equity ratio getting out of balance.
Key Point: The danger is using debt to fund fixed assets merely in the hope that it leads to increased future sales, leaving the business vulnerable to a market downturn.

Question 38: What financial phrase describes debt applied directly to increasing work capacity or stock cycles for which a demand is already evident?
Answer: Liquid Debt.

Key Point: This strategy treats the interest cost as a reduction in job margin; if margins are high enough to validate the risk, the debt can be safely "sold down" through foreseeable work cycles.

Question 39: When assessing Profit Plateau Levels, what is the easiest way to see if taking on new debt is justifiable?
Answer: Perform a 'Liquidation Value Estimate' on the proposed new business scale.
Key Point: You must ask how easy it would be to scale back down if necessary, and what existing equity is being placed at risk with the new scale.
Question 40: What is one of the three signs of Ineffective Management?
Answer: No current evidence of clear business objectives; either completely lacking or 'blunt' (not measurable, not time bound).
Key Point: Without clear objectives, tasks cannot be allocated properly, and a culture that accepts task failure or lacks feedback loops will emerge.

Working Capital Cycle

Question 41: What are the four stages of the "Money in Movement" (Working Capital) cycle?
Answer: Cash, Stock, Sale, and Debtors.
Key Point: This continuous cycle is 'The Money that Makes Money', operating separately from the Fixed Capital structural requirements.

Question 42: Leases, plant/equipment, and structural overheads are classified as what type of capital?
Answer: Fixed Capital (Structural Requirements).
Key Point: Fixed capital represents the "Cost of Being in Business" and is funded by owners' investment or distributed profits, not directly from the daily movement of stock and debtors.

Question 43: If you pay cash for stock, sell it all in the same month, get paid by the supermarket promptly, but still lack money to buy new stock and pay wages, do you have a cash flow problem?
Answer: No.
Key Point: In this scenario, you have a profitability problem. If the trading cycle completes in the same period, your margins are either too low, your fixed costs are too high, or you were underfunded from the outset.

Question 44: If you lack the cash to afford an unexpected 'in-fill order' from a supermarket because your supplier requires cash up front, what kind of problem do you have?
Answer: A lack of working capital.
Key Point: This is where appropriate funding is useful, provided your gross margin can support the cost of finance (treating finance as an opportunity cost to secure the client relationship).

Question 45: If you miss a monthly billing period due to delayed purchasing confirmation, resulting in you not getting paid until the following month, do you have a cash flow problem?
Answer: Yes.
Key Point: Your operational procedures failed to complete the trading cycle in the same period, delaying the arrival of your cash.

Question 46: What happens to a business if it regularly experiences cash flow problems due to delayed trading cycles?
Answer: It may reduce the total annual sales/stock turns, resulting in making less profit for the year.
Key Point: Time delays directly impact the number of trading cycles you can complete annually, highlighting the effects of time and discounting on working capital.

Question 47: In a 60-day cycle example, a 34% reduction in cost equates to what percentage increase in markup?
Answer: A 103% increase in markup.

Key Point: Lowering costs significantly boosts margins, which is necessary to survive extended 60-day working capital cycles without going bust.

Question 48: What are the two key points to remember about Retained Earnings?
Answer: They are cumulative (established since the first day of trading), and they are often not CASH.
Key Point: Retained earnings may have been used to buy assets, increase stock, reduce debt, or they might be 'hiding in the debtors ledger'.

Question 49: In the Working Capital Cycle, what happens to distributed profits (R.O.I)?
Answer: They exit the business structure.
Key Point: Profits are extracted from the fixed capital structure, demonstrating why working capital must continuously cycle to generate excess cash for those distributions.

Question 50: What term describes a business model or industry (like Earthmoving) that requires large amounts of depreciating equipment to serve the customer?
Answer: Capital Intensive.
Key Point: Fixed Capital Assets are positively correlated to Working Capital Cycle ability, and the high cost acts as a barrier to entry for new competitors.